

DY pitch deck

PITCH — DY — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no orders, no entry today; the deck below sets the prices and disclosures that would reopen the name.

What we believe

Dycom is a telecom construction contractor — it buries fiber and builds networks for a handful of very large customers. It just reported a strong quarter (revenue up 45.6% total, 16.7% excluding acquisitions) and the stock fell about 13% anyway, because profit margin in the main Communications segment fell 134 basis points and the next quarter's guidance implied a sequential revenue decline.

Our view, after two independent internal reviews that disagreed with each other on the details but not on the conclusion:

1. **The bull case that was pitched to us does not survive contact with the filing.** The pitch said the demand worry was “decisively refuted” by backlog up 53.2%. That backlog number includes two acquisitions — including one that literally capitalized \$39.4M of *purchased* backlog onto the balance sheet — while the revenue growth number it was compared against excluded acquisitions. Mixing those two bases is exactly the error we train ourselves to catch. Corrected, backlog is roughly *in line* with organic revenue growth (reconstructed at +12% to +23%), which is a neutral fact, not a refutation.
2. **The backup bull case — that management is sandbagging next quarter's guide — is dead, and we can show the arithmetic.** Management guided the Building Systems segment to “high-teens to low-twenties” margin for the rest of the year against the 24.5% it just printed. That ~4.5-point step-down on roughly \$400M of quarterly segment revenue is about **\$18M**. The entire beat above the top end of the company's own EBITDA guidance was **\$12.5M**. In other words, management has already told us the good part doesn't repeat, and the good part was bigger than the beat.
3. **There is a live, unproven, and genuinely worrying explanation for the margin compression that neither the company nor the sell-side has named.** Dycom's largest customer, AT&T (20.1% of quarterly revenue), **closed its purchase of Lumen's mass-market fiber business on 2026-02-02** — and Lumen was separately 5.3% of revenue. So roughly a quarter of Dycom's revenue now sits behind a single, newly larger buyer. Winning more work from a customer with more bargaining power at an undisclosed margin is a plausible *cause* of the margin compression, not evidence against it. We cannot prove this. We also cannot dismiss it.

Net: **we do nothing**. This is a fairly-priced levered contractor whose one asserted mispricing has been arithmetically killed by management's own forward guidance.

What the market believes

The market believes the quarter was a volume beat and a margin miss, and that the margin miss matters more. It sold the print about 13% on a stock that was already 45% below its 52-week high — roughly 32 points of that de-rating happened *before* this print. That is a year-long repricing of the fiber-construction cycle, not a one-day accident.

Published print coverage (StockStory, which is the only estimate source either reviewer could reach) reads the next-quarter guide as conservative and the beat as clean. We think that read is wrong on both counts, and it is the single most consensus thing anyone has said about this name.

We should be honest about what the market may be seeing that we like: **12-month backlog — the portion closest to actual near-term work — is \$6,472M versus \$4,604M, up 40.6%**. That is the demand-proximate cut, and it is genuinely strong. A 45% drawdown into a *raised* full-year revenue guide is as easily a setup as a warning.

Why we might have edge

Three specific things we found that the published coverage did not:

#	What we found	Why it's an edge
1	The two segments' margins are not comparable. Building Systems carries depreciation and amortization equal to 12.3% of revenue (mostly amortization of intangibles from acquisitions); Communications carries 4.2% . Put on the same basis, the segment margin gap collapses from 10.9 points to 3.2 points (12.1% vs 8.9%).	Anyone valuing this on a sum-of-the-parts using the headline "24.5% vs 13.6%" is paying up for an accounting artifact. This was the single best finding in either review.
2	Management's forward segment guide quantifies the one-time item the company declined to quantify in the 10-Q.	The release credits the segment beat to "favorable changes in cost estimates" and the 10-Q discloses no cumulative catch-up adjustment anywhere. We recovered the size (~\$18M) from the forward guide instead. That is a repeatable technique, not a one-off.
3	The customer-consolidation mechanism (largest customer bought another top-10 customer inside the comparison window).	It reframes rising backlog and falling margin as <i>the same fact</i> rather than opposing facts. If it holds up, it is a durable screen.

Both of these last two have been written up as reusable pattern candidates for our knowledge graph.

Why it might be priced in

Very possibly all of it. Honest counts against our own edge claim:

- **The stock is down 45%.** Whatever we “discovered” about margin structure, the tape has been discounting a worse fiber-construction cycle for a year. We are not early to the concern; we are late to it with better vocabulary.
- **We never pulled a real consensus estimate.** Neither reviewer could reach a primary estimate feed. The “\$4.72 EPS / \$299.2M EBITDA” consensus figure floating in our notes is unverified. If actual consensus was *below* the guide, then the 13% drop was positioning and flows, not information — and our whole margin narrative is explaining a move that wasn’t about margin.
- **We do not know whether this name is crowded.** Our crowding/conditioning file was unreadable during both reviews. We are asserting a divergence from consensus without knowing who else already owns the divergence.
- **Valuation is unremarkable, not cheap.** Market cap 30.16M shares × \$308.13 = **\$9.29B**; total debt \$2,819.7M less \$340.1M cash = **\$2.48B net debt**; enterprise value ≈ **\$11.77B**. Against the midpoint of guided next-quarter EBITDA (\$291.5M) annualized, that’s about **10.1× EV/EBITDA** and roughly **17× forward earnings** on a business growing 16.7% organically. That is a fair price, not a dislocated one. *(The annualization is our arithmetic, not a company figure — this business is seasonal and the multiple is therefore approximate.)*

What could go wrong

Failure narrative 1 — We wait, and the demand leg wins without us (opportunity cost)

12-month backlog is up 40.6%. If AT&T and Verizon capex re-accelerates and the margin compression really was scaling investment plus a 35bp fuel headwind, the stock re-rates from a 45%-drawdown base and our reopen bands never print. **Monitorable:** yes — price gate at \$343 ($\approx 11\times$ EV/EBITDA) marks “we were wrong and it’s leaving.”

Failure narrative 2 — We buy the reopen band and the margin transfer is permanent

The customer-consolidation mechanism is real: a bigger AT&T bids Dycom’s incremental work at structurally lower margin, and 13.6% Communications margin becomes 12%, then 11%. Backlog keeps growing the whole way down, which is precisely what makes it seductive. **Monitorable:** partially — segment margin prints quarterly, but the mechanism reveals itself over 4–6 quarters, by which time we would be several tranches in.

Failure narrative 3 — the one with NO monitorable tripwire

Unbilled receivables went from **\$880.36M to \$1,334.39M in six months (+51.6%)**, growing much faster than billed receivables (+34.2%). Cash fell from \$709.17M to \$340.08M. Unbilled receivables are revenue this company has *recognized but not yet invoiced* — on a percent-of-completion basis, that is

an estimate. The risk is that some of it is change orders and claims against a customer that just gained enormous leverage, and that it is eventually negotiated down or netted against future work.

There is no way to watch this. The 10-Q quantifies no cumulative catch-up adjustment anywhere. The disclosure that would let us build a tripwire does not exist; we would learn about it when a charge appears. The same is true of the **\$1,266.3M of goodwill sitting on \$2,614.7M of Building Systems segment assets**, on a company that already carries **\$249.0M of accumulated impairment in Communications** — impairment testing is annual and gives no forward signal.

Unknown-unknown class: silent-estimate accounting risk — the family of exposures where management’s judgment drives the number, no disclosure regime requires it to be quantified, and therefore no sensor can be built. Every percent-of-completion contractor carries a version of this. We can only size it, never watch it. That argues for a small maximum position, permanently, in this entire industry.

The reflexive / structural leg

- **Our own size vs. volume: NOT MEASURED.** Neither review pulled average daily volume for DY. On a \$9.29B market cap a starter position of 0.5–1.0% of book is almost certainly immaterial to the tape, but “almost certainly” is an assumption and it is listed below as a gap. We should not stage anything here until it is a number.
- **Our own predicted flow.** Our reopen bands (\$265 / \$246 / \$227) sit at and below the 52-week low of \$242.83. The marginal seller into those levels is a momentum or growth fund being forced out of a broken chart — exactly the flow we would be bidding into. Our own rule is not to bid into flow we ourselves predict; we would be doing it deliberately, which means the bands must be *limits*, not chases.
- **Doctrine interaction.** Our default is a minimum starter when an adversarial review comes back clean, because “flat” requires a *named* kill. Here the kill is named **and quantified** (\$18M of guided-away segment margin against a \$12.5M beat), so the minimum-starter default is correctly suppressed. Anyone re-reading this deck later should not resurrect a starter on the grounds that “nothing was actually disproven” — something was.
- **No resting orders into the print.** Any gate here is a price alert plus a same-session decision, not a good-till-cancelled order left sitting into an earnings date.

If this position loses money, the most likely reason will be that the 134-basis-point margin compression was a permanent transfer of economics to a customer that just got bigger, not a transitory cost of scaling — and we mistook a 45% drawdown for evidence that this had already been paid for.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Backlog +53.2% refutes the demand worry”	10-Q business-combination note +	Backlog is a total figure spanning two acquisitions; the National Technology	NO — basis error confirmed. Our red

Claim	How checked	Found	Confirmed?
	earnings release, fetched directly	Integrators deal (closed 2026-07-02, \$271.4M) capitalized \$39.4M of purchased backlog . It was compared against an organic revenue number. Organic backlog is not disclosed.	reviewer called it fatal but never sized it; \$39.4M against a \$4,253M backlog increase is 0.9%. Reconstructed organic backlog is +12% to +23% — positive. The claim is wrong as stated; the conclusion “demand is damaged” is also wrong. Demand reads neutral.
“Largest customer consolidation explains the margin drop”	10-Q customer-concentration note	AT&T 20.1%, Verizon 10.4%, Lumen 5.3% of quarterly revenue; AT&T closed its Lumen mass-market fiber acquisition 2026-02-02 . Facts verified.	Facts YES; inference NO. Our red reviewer graded this CONFIRMED and fatal. It is not confirmed — the company discloses no backlog margin and we produced no price-per-unit evidence. Graded plausible, sizing-relevant. This is a bench error we are correcting in our own deck.
“Cash conversion is only 14.1% — earnings quality is bad”	10-Q cash-flow statement — including the prior-year column	First-half operating cash flow \$79.08M. But the prior-year comparative in the adjacent column was \$3.478M — a 22.7× improvement on 45.6% more revenue.	OVERTURNED. Our red reviewer computed a ratio against a window it had itself just declared seasonally unrepresentative, and skipped the comparative one column over. Genuine bench error. What survives: unbilled receivables (+51.6%) outrunning billed (+34.2%) is a real mix tell and stays on the watch list.
“\$150M buyback was asserted but isn’t in the primary source”	10-Q, verbatim	“\$150.0 million program to repurchase shares... through February 2028,” announced August 26, 2026.	OVERTURNED. Our red reviewer checked one venue (the 8-K release), found only an unrelated “\$150 million of wireless program revenues

Claim	How checked	Found	Confirmed?
			into fiscal 2028,” and published a number-collision accusation. Second bench error. The buyback is real.
“Building Systems 24.5% vs Communications 13.6% shows a premium business”	10-Q segment table	D&A is 12.3% of revenue in Building Systems vs 4.2% in Communications. Same-basis gap: 12.1% vs 8.9% = 3.2 points , not 10.9.	YES — sustained by both benches. Strongest finding we produced.
“The next-quarter guide is management sandbagging”	Forward segment guide vs. reported quarter	Building Systems guided “high-teens to low-twenties” vs 24.5% printed ≈ \$18M ; beat above the top of the company’s own EBITDA guide was \$12.5M . Q3 revenue guide \$1.90–1.98B, EBITDA \$281–302M, adj EPS \$4.33–4.79.	NO — killed by arithmetic. Red called the item “unresolvable in either direction” and stopped one step short; blue sized it from the forward guide. The one-time benefit plausibly equals or exceeds the entire beat.
“Q3 is seasonally strong, so a sequential decline is meaningful”	Attempted; desk/seasonality.py was unreachable (path outside working directory)	Multi-year Q3-versus-Q2 shape is asserted, not verified . Prior-year Q3 revenue also not in either primary document.	NO — unverified by both benches. Downgraded from confirmed to plausible.
Share count	10-Q vs. our evidence pack	Pack’s diluted share series topped out at 29,242,455 (2025-07-26). Actual: 30,363,819 diluted this quarter; 30,160,957 outstanding at 2026-08-24.	Pack was stale. Both benches caught it independently. Also unexplained: diluted shares rose ~1.12M while only 95,550 shares were issued for the acquisition — a ~1.03M share gap (~\$317M at today’s price) that neither bench decomposed. Open item.
Automated detectors	16 detectors run across both benches	The one detector that directly tests “the margin hit is transitory” — field-technician hiring velocity — returned zero observations because it was called without required keyword and location parameters. Satellite/permit detectors are structurally inapplicable (this is linear right-of-way work across dozens of states, not a single buildable site).	NO — we are blind on the decisive test. Cheapest open experiment we have.
Leverage	10-Q	Total debt \$2,819.7M, cash \$340.1M, net debt \$2.48B, revolver undrawn with \$746.4M available.	YES. Not a solvency issue; it is a sizing input.

PROPOSED ENTRY BANDS

The courts say NO ENTRY. Below are the reopen bands, not entries. No order is staged and none should be.

Reopen requires BOTH a price condition and a disclosure condition. Price alone does not open the name.

Disclosure conditions (either one, from the Q3 filing): - **D1 — Unbilled receivables decline sequentially AND Building Systems segment margin lands $\geq 22\%$.** This directly refutes the \$18M one-time-benefit arithmetic and would restore the earnings-quality case in one stroke. - **D2 — Organic backlog growth disclosed or reconstructible ex-acquisitions at $>25\%$.** This would make the demand leg genuinely positive rather than merely neutral.

Price bands (derived from our own EV/EBITDA arithmetic on \$291.5M guided quarterly EBITDA annualized, \$2.48B net debt, 30.16M shares):

Band	Price	Implied EV/EBITDA	Action	Size
Reopen watch	\$265	$\approx 9.0\times$	Re-court only. No order.	0%
First tranche	\$246	$\approx 8.5\times$	Starter, only if D1 or D2 is satisfied. Note this sits ~1% above the 52-week low of \$242.83 — a coincidence, and we should expect the low to be tested rather than respected.	0.5% of book
Second tranche	\$227	$\approx 8.0\times$	Add, only if D1 satisfied (not D2 alone).	+0.5% of book
Hard cap	—	—	Maximum position until organic backlog is actually disclosed by the company rather than reconstructed by us.	1.5% of book
Thesis-wrong marker	\$343	$\approx 11.0\times$	Not a stop (we own nothing). It is the level at which we should write	0%

Band	Price	Implied EV/EBITDA	Action	Size
			down, in one paragraph, why the demand leg won and we missed it.	

Sizing discipline: the “silent-estimate accounting risk” named in the pre-mortem — unquantified percent-of-completion estimates plus \$1.27B of segment goodwill with an in-house impairment precedent — is a permanent, unwatchable exposure. It caps this name, and arguably this whole industry, well below a normal full position regardless of price.

Catalyst dates: - **2026-10-31** — Q3 FY27 fiscal quarter end (from the company’s own guidance header). - **2026-11-25** — expected Q3 print. **UNCONFIRMED** — this date is vendor-derived; no company press release names it. Roughly 62 trading days out, so this is not a print-proximate trade in either direction. - **Through February 2028** — the \$150.0M repurchase authorization window. - **2026-08-25 (past)** — director Jennifer Fritzsche resigned effective this date, one day before the print, alongside two new Form 3 filings dated 2026-08-05. Cause is **not disclosed and we assume nothing**. It is noted only so that a *second* departure would read as a pattern rather than a surprise.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 227.0 (deck-provisional: approx 8.0x EV/EBITDA; second 0.5% tranche only after the unbilled-receivable refutation lands)
- filing watch: 10-Q until 2027-02-23 (deck-provisional: Q3: unbilled A/R sequential direction, Building Systems segment margin vs high-teens-to-low-twenties g)
- dated pack DY|2026-10-31: DY: Q3 FY27 fiscal quarter end per the company’s own guidance header (date confirmed=True)
- dated pack DY|2026-11-25: DY: expected Q3 FY27 print - vendor-derived date, no company PR names it (date confirmed=False)
- dated pack DY|2028-02-28: DY: \$150.0M share repurchase authorization window ends (10-Q says through February 2028; day-of-month approximated) (date confirmed=True)

What remains unverified

1. **Organic backlog growth** — not disclosed by the company. Our +12% to +23% reconstruction assumes Building Systems carries backlog at 1.5–2.0× revenue. That ratio is our assumption, not a disclosure, and the whole “demand is neutral” conclusion rests on it.
2. **The size of the favorable cost-estimate change** — derived from the midpoint of a guided *range*, not from a disclosed figure. The \$18M could reasonably be \$12M or \$25M.

3. **Whether the margin compression is transitory** — the direct test (hiring velocity) has never successfully run.
4. **Consensus estimates** — never pulled from a primary feed. The \$4.72 EPS / \$299.2M EBITDA figures in circulation are unverified, and if the guide actually came in *above* a lower consensus, the 13% drop was flow rather than information.
5. **Seasonality** — the “Q3 is seasonally strong” premise is asserted; our seasonality tooling was unreachable and prior-year Q3 revenue is not in either primary document.
6. **The ~1.03M share diluted-count increase** — mechanism unknown (share-based compensation vesting vs. dilutive instruments). At today’s price that is roughly \$317M of value, more than twice the announced buyback. Neither bench decomposed it.
7. **The Q3 print date** — vendor-derived, not company-confirmed.
8. **Crowding** — unknown, and therefore conditions nothing in this deck.
9. **Our own liquidity footprint** — average daily volume never measured.
10. **Whether the buyback is being executed** — the authorization is verified; actual repurchase activity is not.

Primary sources (both retrieved through a text-extraction proxy after sec.gov returned 403 to direct requests — worth noting because it means our automated fetch path is currently degraded for SEC documents): - 10-Q for the period ended 2026-08-01:

<https://www.sec.gov/Archives/edgar/data/0000067215/000006721526000043/dy-20260801.htm> - Q2 FY27 earnings release (8-K exhibit):

<https://www.sec.gov/Archives/edgar/data/67215/000006721526000039/dyfy2027q2earningsreleasee.htm>

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